

6.

CASE #	CASE NAME	HEARING NAME
CVRI2602615	RIZK vs MIRA LOMA ASSOCIATES, LP	MOTION TO STRIKE COMPLAINT

Tentative Ruling:

Defendants' Motion to Strike is denied.

The court may, upon a motion made pursuant to C.C.P. § 435, strike out any irrelevant, false, or improper matter inserted in any pleading; or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (C.C.P. § 436.) On a motion to strike, as with a demurrer, the court reads the allegations of the complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.)

A motion to strike is the proper vehicle to attack a claim for punitive damages where facts alleged do not rise to the level of fraud, malice or oppression. (*Truman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.) Plaintiffs may recover exemplary or punitive damages where it is proven that “the defendant has been guilty of oppression, fraud or malice.” (Civ. Code § 3294(a).)

“Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim.” (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166.) “[A] conclusory characterization of defendant’s conduct as intentional, willful and fraudulent is a patently insufficient statement of ‘oppression, fraud, or malice, express or implied,’ within the meaning of section 3294.” (*Brousseau v. Jarrett* (1977) 73 Cal.App.3d 864, 872.) The pleading must contain factual allegations of wrongful motive, intent, or purpose. (*Cyrus v. Haveson* (1976) 65 Cal.App.3d 306, 317.)

As defined in the statute, “malice” is “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others,” while “oppression” is defined as “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Civ. Code § 3294(c)(1) and (2).) To support an award of punitive damages on the basis of conscious disregard of the safety of others, a plaintiff “must establish that the defendant was aware of the probable dangerous consequences of his conduct, and that he willfully and deliberately failed to avoid those consequences.” (*Penner v. Falk* (1984) 153 Cal.App.3d 858, 867.) As used in the statute, “despicable conduct” is conduct that is “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (*American Airlines, Inc. v. Sheppard Mullin Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1050.)

Fraud means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury. (Civ. Code § 3294(c).) “A fraud cause seeking punitive damages need not include an allegation that

the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient.” (*Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 610.)

A tenant’s habitability action against the owners for failure to remedy substandard living conditions may be sufficient to support a claim for punitive damages. (See, e.g., *Soiber v. Honeychuck* (1980) 101 Cal.App.3d 903, 921 [failure to correct defective living conditions sufficient for punitive damages claim]; *Rivers v. Sassoon* (1995) 39 Cal.App.4th 1045, 1046 [affirming general, special, and punitive damages jury award for breach of the warranty of habitability, nuisance and other torts]; and *Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal.App.4th 1004, 1055.)

Here, Plaintiffs allege sufficient facts to support their claim for punitive damages based on fraud, malice, and oppression. Specifically, Plaintiffs’ fifth cause of action sets forth a claim of fraud against Defendants. The elements of an action for fraud based on concealment are: (1) concealment or suppression of a material fact, (2) a duty to disclose the fact to the plaintiff, (3) intent to defraud, (4) plaintiff’s lack of knowledge and reliance, and (5) damage caused by the concealment. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 157-158.)

Although generally fraud must be pled with specificity, it is not realistic to require specificity when the claims are based on nondisclosure because it is impossible to show how and by what means something did not happen or when it never happened. (*Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1199.) Accordingly, the requirement to plead with specificity “is relaxed when it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts.” (*Quelimane Co. v. Steward Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.) Moreover, an allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer or motion to strike. (*Skopp v. Weaver* (1976) 16 Cal.3d 432, 437; *Dones v. Life Insurance Company of North America* (2020) 55 Cal.App.5th 665, 685; *City of Industry v. City of Fillmore* (2011) 198 Cal.App.4th 191, 212.)

In the absence of a fiduciary relationship, a duty to disclose can arise when a defendant makes a representation but fails to disclose additional facts, which materially qualify the facts disclosed; when the facts are known or are accessible only to the defendant and the defendant knows they are not known or reasonably discoverable by the plaintiff; or when the defendant actively conceals discovery from the plaintiff. (*Warner Constr. Corp. v. L.A.* (1970) 2 Cal.3d 285, 294.)

Here, Plaintiffs allege that Defendants, through management employee Grace Cuautle and her staff, were aware of the bedbug infestations in Unit 4, but intentionally did not disclose the bedbugs to the Clarks when they assigned them to Unit 4, and further refused to show Unit 4 to the Clarks because Unit 4 was “not ready.” (Complaint, ¶¶ 119-121.) This is sufficient to plead nondisclosure of a material fact. Plaintiffs assert that they did not know of the bedbug infestations in Unit 4, which caused them to suffer extreme emotional distress, loss of personal property, and personal injuries. (Complaint, ¶¶ 127-128.) Accordingly, the allegations are sufficient at the pleading stage to demonstrate exclusive knowledge to impose a duty to disclose upon Defendants. As

such, Plaintiffs have stated sufficient facts to constitute a cause of action for fraud through concealment.

Although Defendants contend that Plaintiffs' claim for punitive damages are based on bare legal conclusions, as noted above, Plaintiffs have alleged sufficient facts to state a cause of action for fraud. Accordingly, no allegations of malicious motivation are required to support the claim for punitive damages. Nevertheless, Plaintiffs' allegations are sufficient to support a finding of malice and oppression under Civil Code § 3294(c)(1) and (2), because Defendants' alleged misconduct in intentionally concealing repeated bedbug infestations and exposing Plaintiffs to the bedbugs shows a willful and conscious disregard for the rights and safety of others.

7.

CASE #	CASE NAME	HEARING NAME
CVSW2310634	TEJEDA vs GSPUROHIT PROPERTIES, LLC	MOTION TO SET ASIDE DEFAULT ON CROSS-COMPLAINT

Tentative Ruling:

Cross-Defendant Main Capital Investments LLC's ("Main Capital") Motion to Set Aside Default pursuant to the mandatory provision of California Code of Civil Procedure Section 473(b) is granted. Cross Defendant Main Capital must file an Answer within 20 days of this ruling.

Court imposes a compensatory sanction against Main Capital's Counsel of \$960.00, payable within 30 days.

Relevant Chronology and Timeline of Events:

- September 9, 2025: Main Capital's prior counsel files a motion to be relieved
- November 5, 2025: The Court grants the motion to be relieved; formal order is entered on November 10, 2025, leaving Main Capital unrepresented
- January 22, 2026: First Status Hearing re: Retaining Counsel; individual defendants appear, and the Order to Show Cause (OSC) is continued
- March 19, 2026: Second Status Hearing; no appearance by Cross-Defendants, and the OSC is continued concurrent with the Trial Setting Conference (TSC)
- May 4, 2026: Third Status Hearing; Janet Tejeda appears, reports difficulty retaining counsel for the corporate entity, and the OSC is continued to June 18, 2026
- June 11, 2026: Main Capital retains the Mansour Law Group, APLC ("MLG") to represent all Cross-Defendants
- June 18, 2026: Fourth Status Hearing. Counsel Luke Sinkinson fails to appear due to a calendaring error. The Court strikes Main Capital's Answer and directs GSPurohit to seek entry of default.
- June 25, 2026: GSPurohit files a Request for Entry of Default, which is entered by the clerk.